

December 3, 2004

All Scheduled Commercial Banks
(excluding RRBs and LABs)

Dear Sir,

Concurrent Audit in Banks - Examination of Speed Remittance

Please refer to our circular No. DOS.BC.16/08.91.021/96 dated August 14, 1996, advising banks to take steps to institute an appropriate system of concurrent audit in banks. Recently, some of the banks have entered into an arrangement (called Speed Remittance), whereby the overseas Exchange Houses (EHs) would transfer funds to their Vostro accounts along with details of the beneficiaries and the bank in turn would transfer the funds either by direct credit to the account of the beneficiary or by issue of drafts in their favour. Such transfer should take place only when there is sufficient funds in the vostro account of the respective EH and under no circumstances overdraft should be allowed by the banks.

2. In view of the above, it has been decided that banks should include in their concurrent audit the examination of the Rupee Drawing Arrangement under Speed Remittance, to ensure that credit of funds to the vostro account of the EH takes place before payments are made to the beneficiaries.

Yours faithfully,

Sd/-

(K. Gopalakrishnan)
General Manager

Withdrawn